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Town Hall, 333 Washington St., Room
103, and Zoom
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Meeting ID: 160 637 2588

Expenditures & Revenues Study Committee Agenda
Expenditures & Revenues Study Committee Meeting
Tuesday, March 3, 2026 at 11:30 AM

1. **Call to Order**
2. **Discussion and possible vote on Capacity to Pay report. (20 mins)**
 - 2a. Capacity to pay
3. **Discussion and possible votes on School Subcommittee Reports. (15 mins per report)**
 - 3a. Non-resident student special education report
4. **Other Business**

[Expenditures & Revenues Study Committee Webpage](#)

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SIZE OF THE OVERRIDE AND CAPACITY TO PAY (3.1.26 Draft) (updated after 2/26/26 School Committee Budget Presentation)

Summary

As the Select Board considers placing an operating override on the ballot, the following factors should lead the Board to carefully scrutinize the size of any proposed override, with sensitivity to the impacts of increased property taxes on owners and renters. The override amount should not impose an onerous burden on residents or, conversely, be unacceptable to voters and result in failure:

- The Town and Schools current override “asks” would result in property taxes increasing by almost 20% from current levels in three years when those “asks” are added to property tax increases already embedded for FY27 to FY29. **There should be full disclosure to the voters of both the aggregate one-year (8.3%) and the three-year (19.3%) impacts.**
- Time periods between Brookline’s operating overrides have recently been compressed, with residents now facing planned overrides every three years. Significant property tax increases have also resulted from debt exclusions, driven largely by almost three-quarters of a billion dollars for school construction, expansion and renovation.
- Even communities that have been cited in support of an override, such as Melrose, Stoneham, and Arlington, do not approach the frequency of overrides seen in Brookline. Moreover, there is a particular lesson to be learned from Stoneham, where voters rejected two larger overrides before accepting a smaller one.
- Brookline’s average single-family property taxes (the data provided by the Department of Revenue, or “DOR”) increased at a much faster rate than those of communities identified by PSB as similar school communities. Brookline’s single-family property taxes increased by \$12,627 (from \$13,610 to \$26,237) between FY15 and FY26, or 229% of the median increase of \$5,524 in the similar school communities.
- And if we look simply at the percentage increase in taxes as reported by the DOR in order to factor out Brookline’s greater property values, Brookline’s single-family property taxes increased by 93% versus a 64% median increase in the similar school communities, or a **rate of increase 146% that of the comparable communities.**
- Utilizing Brookline Assessor’s data, property taxes on **all classes of residential properties** in Brookline (condominium, single-family, two-family, three-family and 4+ unit buildings) **far outstripped the rate of inflation** from FY15 to FY26, at 143% to 265% of the inflation rate for the various residential property types.
- **Renters are not immune from property tax increases**, since the standard Greater Boston lease includes a clause allowing increased property taxes to be passed on directly to renters. In fact, renters in two- and three-family buildings are highly likely to be affected by an override, since tax increases on the building must be borne by a smaller number of units and since the rental units are not eligible for the residential homeowner exemption.

- Brookline **owners and renters** are burdened by housing costs, even without an override further increasing property taxes, with thousands **already paying more than 30% and even 35% of their household incomes for housing** according to 2024 American Community Survey calculations. The impact is **particularly great among seniors** age 65 and over.
- Over 3,300 **owners** faced housing costs greater than 30% of their household incomes, and 2,800 greater than 35%. This included 1,250 seniors (27.2% of senior owners) paying more than 30% of their incomes for housing, and over 1,060 seniors (23.1%) paying more than 35%.
- Over 6,650 **renters** (almost 47%) paid more than 30%, and over 5,300 (37.6%) more than 35%, of their household incomes for housing. The most senior Brookline renters faced the greatest burdens. One-half (49.9%) of senior renters – almost 1,000 -- pay more than 30% of their incomes for rent and utilities, with over 700 (38%) paying more than 35%.
- **Thus, in setting the level of any override it may propose**, the Select Board should carefully scrutinize the necessity of increased Town and School expenditures, be cognizant of the taxes already faced by residents, and be sensitive to the impacts of further tax increases on residents, and particularly senior residents, including consideration of the following as discussed in more detail in the final section of this Report:
 - Spreading portions of the Town and School override “asks” over three years to avoid a significant 8.3% property tax increase in year one of the override.
 - Basing the override amount on a health insurance employer contribution level in line with many comparable communities, rather than accepting the current 83% as a “given” that will persist, while allowing time for a sustainable employer contribution level to be negotiated.
 - Basing the override amount on an overall wage increase of 2.5% or 3%, rather than the 5% that would result under the current PSB salary “grid,” while allowing time for that salary structure to be negotiated. When coupled with the level of health insurance premium costs currently paid by the Town and Schools, along with projected premium increases, a 5% wage increase would result in an unsustainable annual employee compensation increase of approximately 6.8%.
 - Basing the override amount on PSB enforcement of contractual teaching load provisions, which provide for a maximum of 20 assigned instructional periods and 4 periods of other assigned duties per week, through revisions to the “4+1” model. At a minimum, any override should incorporate savings from revisions of the “4+1” model already identified by PSB.
 - Revising the override amount to include the projected savings from the Solar Initiative proposed by the Futures Subcommittee.
 - Incorporating increases in BEEP Extended Day tuition to levels adequate to cover costs, as recommended by the Schools Subcommittee.
- The Select Board could put a single override on the ballot that incorporates the savings described above. It could also offer a “tiered” override. Both tiers could “phase in” Town and School amounts over three years, rather than front-end loading certain

amounts, and also incorporate modifications to the “4+1” system already identified by PSB (a reduction of 6.6 FTEs, or close to \$1 million per year when benefits are included). Both override tiers would preserve Town and School services, rather than finding savings by eliminating fire companies and middle school World Languages. The lower tier would expressly incorporate an employer health insurance contribution rate in line with most similar school communities (saving at least \$3.5 million, and up to \$7.9 million, per year). The lower tier would also incorporate a 2.5% or 3% annual increase in Town and School wages (saving between \$2.5 and \$3 million per year of School wages, plus a further amount in Town wages). The higher override tier would offer voters the choice of continuing to fund the 83% employer contribution rate for health insurance premiums and the existing increases in School salaries of approximately 5% per year as well as Town salary increases, in addition to increases in benefit costs of 12% per year.

- The Town and Schools should implement further recommendations of various E&RSC subcommittees. They should:
 - Conduct a robust review of the BEEP full and extended day tuitions, since programs are being offered for less than market rates and for less than the cost of the programs.
 - Collaborate with other communities, including specifically Newton and Lexington, to lobby for additional METCO funding for in-district Special Education costs that are shifted from student “sending” communities to “receiving” communities.
 - Evaluate the financial and educational benefits and costs of conversion to a middle school model.
 - Implement a pilot program to manage rentals and use of public buildings and facilities, including use by third parties, Town and School departments and not-for-profit organizations.
 - Evaluate and implement, where beneficial, the consolidation of functions serving both the Town and Schools.
 - Evaluate and, where beneficial, amend the Town/School financial model, including the methodology used to assign or “split” revenues, the allocation of costs “above the line” or “below the line,” and the creation of clear working relationships for Town departments and for the Schools regarding the assignment of responsibility, funding and control of costs and services.
 - Proceed with an independent review of the steps taken with regard to the Clifton Larson Allen report on PSB administration.

Discussion

1. The proposed override would result in tax increases of almost 20% in three years.

The Town has proposed an override of \$5,310,000 for Town departments, with the entire Town amount added to property taxes in the first year, FY27. At the February 26, 2026 School Committee Meeting, PSB identified a “3-year funding gap” of \$18,538,687, which was identified as the Schools’ override “ask.” Combined, those figures would result in a total override amount

of \$23.8 million, with the PSB amount presumably phased in over three years. That override amount would be built into the Town's levy limit, and thus subject to the additional 2.5% increases in that levy limit from year to year.

Without an override, property taxes would increase from \$335.9 million in the current year, FY26, to \$375.5 million in FY29, an increase of \$39.6 million or 11.8%.¹ **When the override is added** to already embedded Proposition 2 ½ increases, new growth, and debt exclusions, property taxes would increase to \$400.8 million over the next three years, a **\$64.9 million or 19.3% increase over that period.**

The 8.3% tax impact with the override would be particularly dramatic in FY27, given the Town proposal to add the entire override amount to property taxes in the first year, and the PSB proposal to recapture in one year the entire \$1.9 million in Circuit Breaker funds used to balance the Schools' FY26 budget gap.

¹ The table on page 20 of the FY27 Financial Plan does not appear to include the Community Preservation Act (CPA), which increases property taxes by 1%. The FY26 Levy Limit is found on page 7 of the Financial Plan. FY26 Debt Exclusion debt service costs of \$28,596,860 were presented at the 12/9/25 Select Board meeting. The FY26 property tax total with the CPA is shown on the table. The property tax total for FY29, with no override, is the \$371,761,574 amount on page 20 of the Financial Plan, increased by the 1% CPA tax, or a total of \$375,479,190. Note that the reported percentage increases would not change with the inclusion or exclusion of the 1% CPA tax.

PROPERTY TAXES	FY2026	FY2027	FY2028	FY2029
Prior Year Levy Limit		\$ 303,973,332	\$ 337,921,352	\$ 348,869,386
2 1/2% Increase		\$ 7,599,333	\$ 8,448,034	\$ 8,721,735
New Growth		\$ 2,500,000	\$ 2,500,000	\$ 2,500,000
General Override		\$ 23,848,687		
LEVY LIMIT	\$ 303,973,332	\$ 337,921,352	\$ 348,869,386	\$ 360,091,121
Unused Override		\$ 13,270,083	\$ 7,762,951	\$ -
PROPERTY TAX Subtotal		\$ 324,651,269	\$ 341,106,435	\$ 360,091,121
Debt Exclusion	\$ 28,596,860	\$ 35,379,833	\$ 36,013,706	\$ 36,726,580
ANNUAL LEVY BEFORE CPA	\$ 332,570,192	\$ 360,031,102	\$ 377,120,141	\$ 396,817,701
CPA at 1%	\$ 3,325,702	\$ 3,600,311	\$ 3,771,201	\$ 3,968,177
TOTAL WITH CPA	\$ 335,895,894	\$ 363,631,413	\$ 380,891,343	\$ 400,785,878
\$ Increase from prior		\$ 27,735,519	\$ 17,259,929	\$ 19,894,535
% Increase from prior		8.3%	4.7%	5.2%
\$ Increase from FY26		\$ 27,735,519	\$ 44,995,449	\$ 64,889,984
% Increase from FY26		8.3%	13.4%	19.3%
Sources: For Town, FY-2027 Financial Plan, pp. 6, 25 (FY26 levy limit, \$5,310,000 override levy in FY27). For Schools, School Committee Presentation 2/26/26 (3-year funding gap \$18,538,687; annual FY27, 28, 29 figures used for assumed "phase in"); chrome-extension://efaidnbmninnibpcjpcglclefindmkaj/https://resources.finalsite.net/images/v1772150122/brooklinek12maus/raxvb5dsv1h2ge4rkgti/FY27BudgetUpdate_nonORListSC22626.pdf				

2. Property tax overrides have accelerated in Brookline in recent years, in addition to nearly three-quarters of a billion dollars in debt exclusions for schools.

Brookline has recently moved into a pattern of frequent overrides, with this proposed override coming hard on the heels of the 2023 override and the suggestion of yet another override in 2029. Thus, after Proposition 2½ was enacted in 1980, Brookline waited 14 years for its first override in 1994, and then another 14 years for the second override in 2008. There were then operating override votes in 2015 (a 7-year gap), 2018 (the only prior 3-year gap), and 2023 (a 5-year gap). The proposal for another operating override vote in 2026, only three years after the previous override, and the suggestion that an override in 2026 will be followed by another in 2029, significantly accelerates the historical norms.

Taxes have, moreover, been raised by “debt exclusions,” primarily for the public schools: 1990 (new Lincoln school - \$88 million); 1995 (High School repairs - \$41 million); 2015

(expand and renovate Devotion/Florida Ruffin Ridley school - \$88 million after MSBA reimbursement); 2018 (renovate and expand High School - \$237 million); 2019 (new Driscoll school - \$120 million); 2020 (Newbury College land purchase - \$14.9 million); 2022 (fire station renovations - \$60 million); and 2023 (new Pierce school – at least \$172 million, assuming full MSBA reimbursement). The debt exclusions for school buildings, even assuming full MSBA reimbursement, has totaled \$726 million, almost ten times the \$75 million in debt exclusions approved for other Town purposes.

The impact of the overrides and debt exclusions can be seen in the later sections of this report.

3. The experience in other Massachusetts communities underscores that the requested override amount should be reduced, and that voters should be offered the option of voting for a more modest override.

The FY27 Financial Plan states on page 24 that the override proposal is “consistent with what is happening across Massachusetts,” pointing to overrides that passed in Melrose and Stoneham. In actuality, those communities – and the experience of communities “across Massachusetts” – tell a different story.²

The Melrose override passed in 2025, but the previous successful Melrose override was **six years earlier** in 2019, and the only successful override prior to that was **twenty-seven years** before that, in 1992. Voters defeated overrides eight times between 1991 and 2025. Melrose is hardly on the cycle of overrides every three years that is now on the table for Brookline.

The Stoneham override for \$9.3 million passed on 12/9/25 at the same election at which a larger \$12.5 million override was **defeated**, and eight months after a \$14.6 million override was also **defeated**. Stoneham’s experience thus sends a lesson that voters should be offered a moderate override, or a **multi-level or “tiered” override, rather than a single daunting “take it or leave it” amount.**

The Financial Plan also cites a proposed override in Arlington. Whether or not that override passes, it should, as with Melrose and Stoneham, be considered against the past history of that community. As graphically pictured in the next section, Department of Revenue figures report that taxes on the average single-family home in Arlington increased by \$4,641 or 63.5%

² Historical data for overrides in Massachusetts communities is reported at https://dls-gw.dor.state.ma.us/reports/rdpage.aspx?rdreport=votes.prop2_5.overrideunderride

from FY15 to FY26, while those in Brookline increased by \$12,627 or 92.8%, **a rate of increase 146% of the rate of increase in Arlington.**

Finally, with respect to the success of overrides “across Massachusetts” in these difficult financial times, for Fiscal Years 2025 to 2027 the Department of Revenue reports 60 operating override “wins” and 68 operating override “losses” in Massachusetts communities. This hardly demonstrates a history of successful overrides “across Massachusetts,” a sobering message for consideration.

4. Brookline’s residential property taxes have accelerated at a much faster rate than taxes in comparable communities.

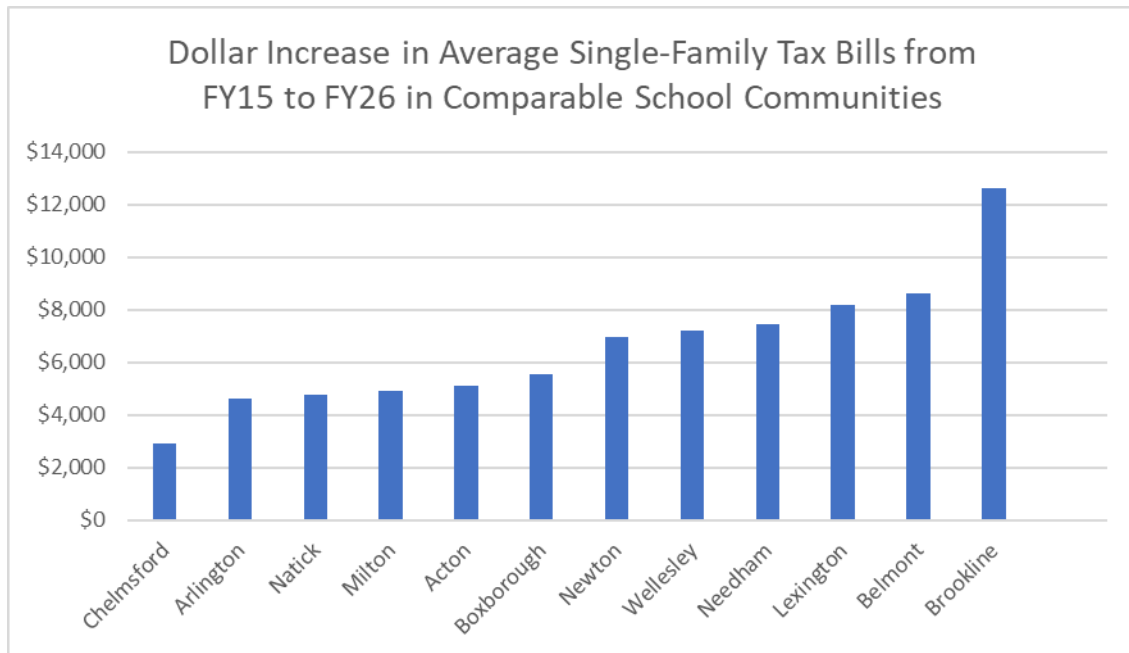
In responses to questions posed by the Expenditure & Revenue Study Committee (E&RSC), the Public Schools of Brookline (PSB) identified eleven school districts that the PSB considers similar to Brookline for purposes of benchmarking. The following analysis focuses on the residential property tax history of those communities.

The bottom-line impact can be viewed through a number of lenses, including Massachusetts Department of Revenue (DOR) data and data from the Brookline Assessor.

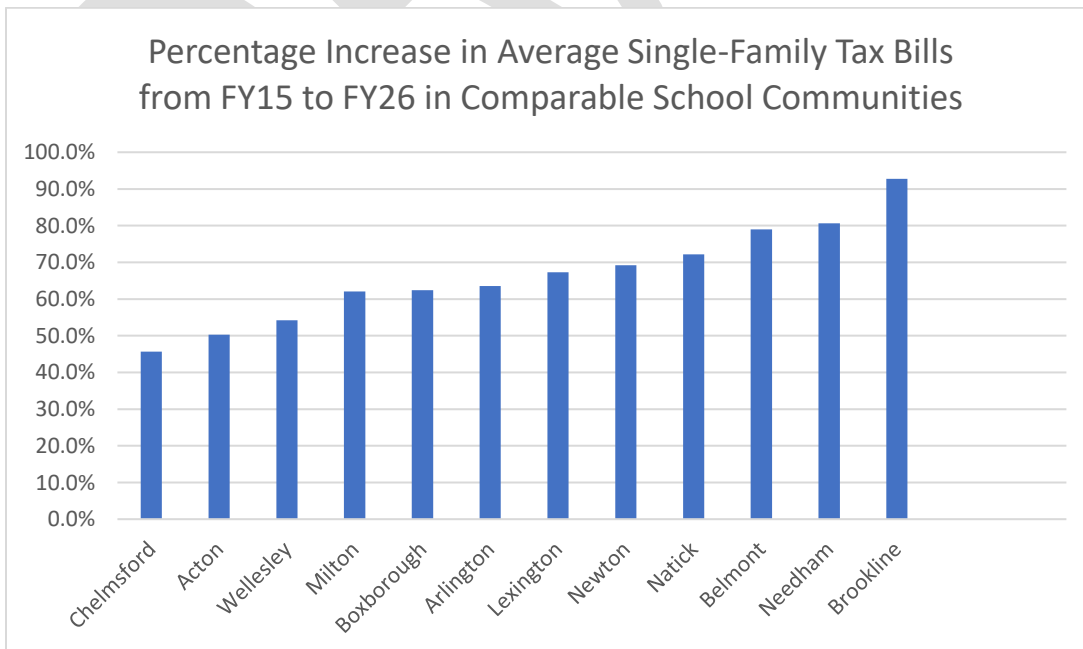
The Massachusetts Department of Revenue (DOR) provides data showing the taxes over time on an average single-family home in each community in the State. This allows us to look at the actual increases over time in single-family property taxes between FY15 and FY26 in communities that the PSB identified as comparable.³

The increase in the dollar amount of average single-family taxes in Brookline and the comparable communities shows the dramatic increases in Brookline taxes. Brookline’s average single-family tax bill increased by \$12,627 (from \$13,610 to \$26,237) between FY15 and FY26, which is 229% (**well over two times**) the median increase of \$5,524 in the comparable school communities.

³ https://dls-gw.dor.state.ma.us/reports/rdPage.aspx?rdReport=AverageSingleTaxBill.SingleFamTaxBill_wRange
The comparable school communities were identified by PSB in the discussion of out-of-district placements on page 8 of the PSB response to questions posed by the E&RSC, as provided to the E&RSC in a July 2, 2025 Memorandum from School Committee members Sarah Moghtader and Jesse Hefter. Watertown is not presented in the graphs because the DOR does not report its average 2015 single-family tax. The combined Acton-Boxborough district is represented by the two municipalities. The average 2015 single-family tax for Brookline is taken from the Town of Brookline’s January 6, 2015 “Growth in the Cost of Government” report. chrome-extension://efaidnbmnnnibpcajpcglclefindmkaj/https://www.brooklinema.gov/DocumentCenter/View/6783/Cost-of-Government---Growth-and-Comparables--Deputy-Town-Administrator-Presentation-1-6-2015-PDF#:~:text=Page%20eligible%20for%20the%20Residential%20Exemption.
The DOR figures do not include the additional impact of the Community Preservation Act in municipalities such as Brookline that add the CPA to tax bills.



It could be argued that Brookline's single-family homes are assessed at higher levels than other communities so the greater tax increases on a dollar basis are unsurprising, but Brookline's tax increases even on a percentage basis substantially exceed those of the similar school communities. The **percentage** increase in the average single-family tax bill in Brookline was 92.8%, while the median for the comparable communities was only 63.5%. In other words, Brookline's taxes increased at a rate that was **146% the rate of the comparable communities**.



It has also been argued that the increase in Brookline's residential taxes can be attributed to Brookline's reliance on residential rather than commercial property taxes, particularly with recent changes in relative value between residential and commercial properties.⁴ However, six of the eleven comparable communities actually have a higher FY26 residential levy percentage than Brookline, with none of the communities benefitting from a significantly greater commercial levy, yet no comparable community matches the tax escalation in Brookline on either a dollar or a percentage basis.⁵

5. Tax increases on all residential buildings in Brookline have outstripped inflation, with taxes on all except condominiums more than double the inflation rate.

While the DOR only provides property tax data for the average single-family property, the Brookline Assessor provides an annual calculation of the median tax on five different residential property classes: condominiums, single-family, 2-family, 3-family and 4+unit buildings. An additional 1% Community Preservation Act tax was approved in 2021.⁶

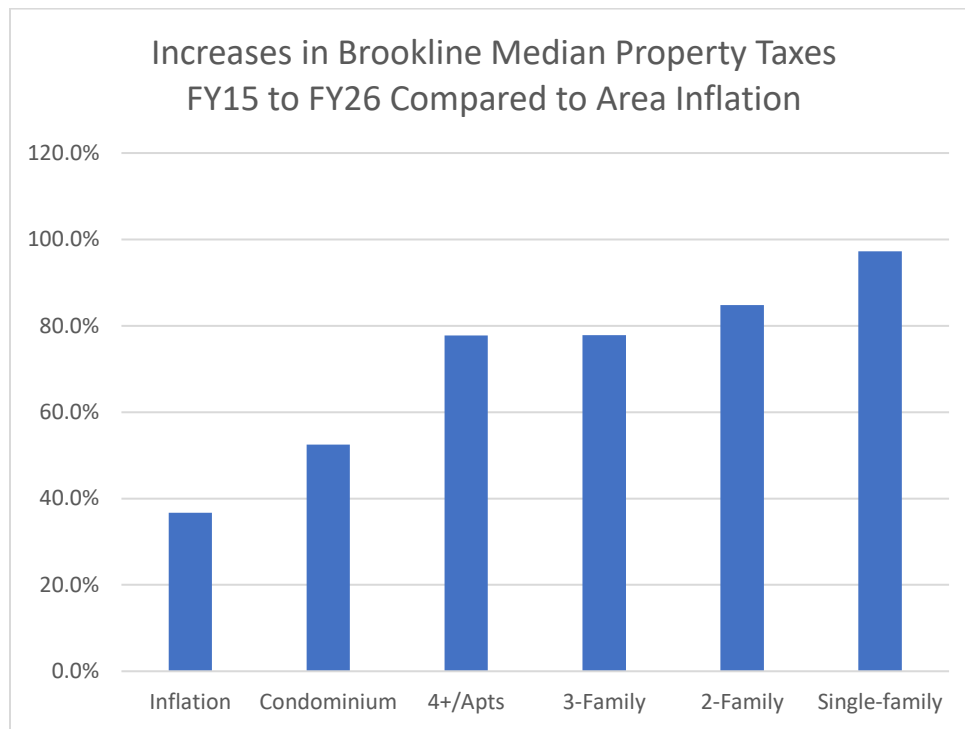
Brookline's property taxes on all classes of residential property have escalated at a rate far exceeding the rate of inflation. While area inflation increased by 36.7% between FY15 and FY26, even the residential class realizing the greatest benefit from the residential exemption, condominiums, saw its property taxes increase by more than 52.5%, or **143% of the increase in inflation** over the same period. The increase on 2-family (84.8%), 3-family (77.8%), and 4+/unit (77.8%) buildings was even more striking – more than **double the increase in inflation**. And

⁴ Under Prop 2.5 where a municipality's total increase in real estate taxes is limited to 2.5% per year (absent new growth, overrides and debt exclusions) relative changes in value between components (residential, commercial, industrial, or between different types of residential properties) will result in year-to-year changes in the percentage of overall taxes one sector must pay.

⁵ Approximately 84% of Brookline's property tax levy in FY26 was residential properties. In ascending order, the FY26 residential levy percentage in the comparable communities was: Lexington 78%, Needham 79%, Natick 83%, Chelmsford 83%, Boxborough 84%, Brookline 84%, Newton 86%, Wellesley 90%, Acton 90%, Milton 93%, Belmont 95%, and Arlington 95%. <https://dls-gw.dor.state.ma.us/reports/rdPage.aspx?rdReport=Dashboard.TrendAnalysisReports.TaxLevyByClass>

⁶ Sources: Tax Classification Hearings (assumes the residential exemption), Select Board Meetings 12/1/15; 11/4/25; 11/18/25. Bureau of Labor Statistics, CPI-U, Consumer Price Index for All Urban Consumers, Boston-Cambridge-Newton, MA-NH; January 2015 to November 2025 (1982-84=100). The additional Brookline 1% CPA tax was approved in May, 2021 and is included.

the 97.2% increase in property taxes on the median single-family dwelling **was 265% of the increase in inflation.**



Putting these percentage increases into stark dollar terms, the median single-family home tax rose from \$10,704 in FY15 to \$21,113 in FY26, an increase of \$10,409. If taxes had been limited to the area inflation rate, those taxes would only have gone from \$10,704 to \$14,632, or about \$6,500 less than they actually rose.

Similarly, taxes on 2-family and 3-family homes increased by \$8,776 and \$9,006, respectively. Tax increases on these properties are most likely to directly affect renters, since tax hikes must be borne by a limited number of units in a building and the residential exemption would not apply to those rental units.

The foregoing analysis of the impacts on **properties** brings us to the existing burden of housing costs on **people** – the Brookline residents who have faced the impact of tax increases in the past and face the prospect of further tax increases in the future.

6. Thousands of Brookline residents – including senior owners and senior renters in particular -- are already burdened by housing costs, even before additional tax increases.

The accepted rule of thumb for housing affordability is the expenditure of 30% or more of household income on housing. The American Community Survey (ACS) provides not only the percentage of owners and the percentage of renters by age group spending more than 30% of their incomes on housing, but also the percentages spending an even greater amount, more than 35%. The figures presented here are based on the most recently available ACS 2024 5-year estimates -- using data for January 1, 2020 to December 31, 2024. These figures do not include later tax increases, including a \$17.6 million increase in the residential levy between FY25 and FY26,⁷ or a 5.1% property tax increase projected for FY27 even without an override.⁸

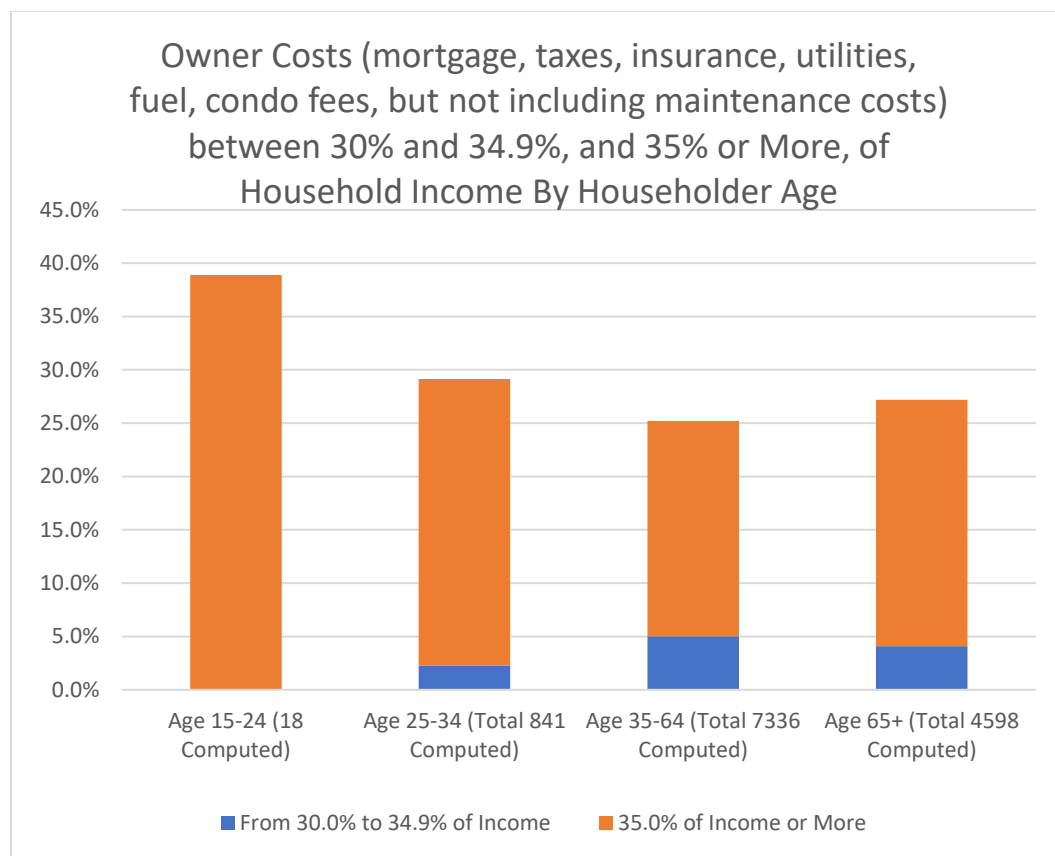
Owners. As shown graphically below, over one-quarter of owners in Brookline were estimated in 2024 to be paying more 30% of their income for housing costs, including mortgage costs, taxes, insurance, utilities, fuel and, where applicable, condominium fees. These figures do not include separate maintenance costs, which can of course be substantial for owners. That is a total of **over 3,300 owners** (26.2%). Most of those – or **almost 2,800 owners** (21.7%) – paid more than 35% of their incomes in owner costs, not including more recent increases. This pattern of housing costs exceeding 35%, not just 30%, of household incomes carries across owners and renters, and across all age groups including seniors in particular.

Despite the assumption that senior owners would be less burdened than younger owners with housing costs because they have already retired their mortgages, the percentage of cost-burdened senior owners is actually **higher** than that of younger owners. Thus, 27.2% of owners 65 and older -- or **1,250** – were calculated to be spending more than 30% of their household incomes on housing, while 23.1% of senior owners, or **1,062**, were calculated to be paying more than 35% of their household incomes for housing – all before later tax or other cost increases or the potentially significant costs of maintenance.⁹

⁷<https://dls-gw.dor.state.ma.us/reports/rdPage.aspx?rdReport=Dashboard.TrendAnalysisReports.TaxLevyByClass>

⁸ FY2027-FY2031 Long Range Financial Forecast, December 9, 2025.

⁹ American Community Survey, 2024 5-year estimates, Table B25093. The total number of owner households paying more than 30% of household income for housing was calculated at 3,352 out of 12,793 computed, or 26.2%. The total number paying more than 35% of household income was 2,778, or 21.7%. The total for owner householders age 65 and over calculated to be paying more than 30% of household income was 1,250 out of 4,598 computed, or 27.2%, with 1,062 or 23.1%, paying more than 35% of household income for housing costs. <https://data.census.gov/table?q=brookline,+ma+B25093>



Renters. Renters are not immune from property tax increases. The standard Greater Boston Realty Board lease includes a tax escalator clause under which increases in property taxes can be immediately passed on to renters:

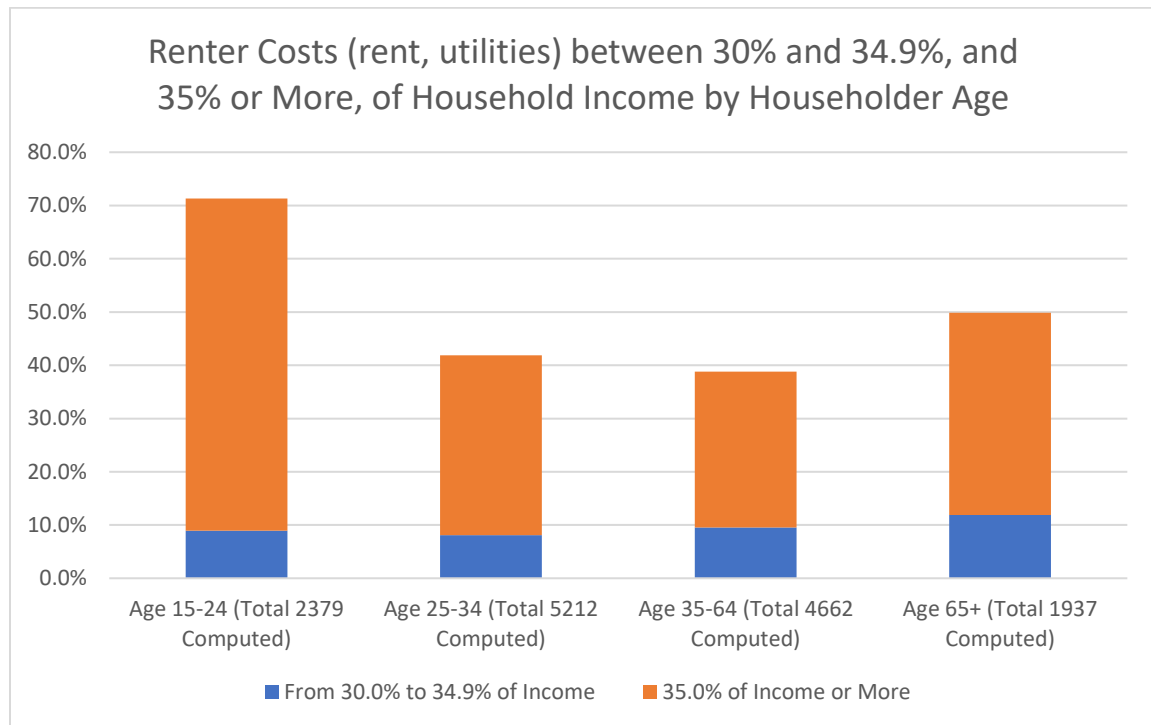
[I]f in any tax year commencing with the fiscal year [] the real estate taxes on the land and buildings, of which the leased premises are a part, are in excess of the amount of the real estate taxes thereon for the ... “Base Year”... Lessee will pay to Lessor as additional rent hereunder, when and as designated by notice in writing by Lessor, ... that proportion of such increased tax as the unit leased him bears to the whole of the real estate so taxed

As discussed above, this “property tax pass-through” would likely have a particularly significant impact on renters in two-family and three-family buildings, where tax increases are borne by fewer units.

The ACS 2024 estimates show an even more profound cost burden for Brookline renters than for owners, across all age groups and particularly among seniors.¹⁰ Among all renting

¹⁰ American Community Survey, 2024 5-year estimates, Table B25072. The total number of renter households paying more than 30% of household income for housing was calculated at 6,653 out of 14,190 computed, or 46.9%. The total number paying more than 35% of household income was 5,341, or 37.6%. Renter housing costs were

households, almost 47%, or **over 6,650** out of 14,190 renting households for which estimates were computed, paid more than 30% of their household income in rent and utilities. Moreover, **over 5,300** renting households, or 37.6%, paid more than 35% of their incomes for housing costs.



Although the impact of housing costs on the youngest age cohort might be trivialized as being just “young people” or “college and graduate school students,” that argument is not relevant for older age groups. All the remaining renter age groups – **and especially the most senior** – were cost-burdened.

Thus, approximately 40% of renters in the 25 to 34 and the 35 to 64 age categories are paying more than 30% of their income in rent and utilities. That is **almost 4,000 renters** out of the 9,874 households of those ages for which estimates were computed. And of those 9,874 households, **over 3,100** (31.6%) paid more than 35% of their household incomes in rent and utilities.

calculated for a total of 9,874 householders in the 25 to 34 and 35 to 64 age cohorts, with 3,991 (40.4%) calculated to be paying more than 30%, and 3,122 (31.6%) to be paying more than 35%, of household income for housing. For renters age 65 and over, 966 out of 1,937 (49.9%) were paying more than 30% of household income for housing while 736 (38%) were paying more than 35% of their household incomes for housing.
<https://data.census.gov/table?q=brookline,+ma+B25072>.

The burdens are even more dramatic for renters over the age of 65. **Virtually half of senior renters (49.9%), almost 1,000 senior renters** out of 1,937 computed, were paying more than 30% of their incomes on rent and utilities, with 38%, or **736 senior renters**, paying more than 35% of their incomes for housing.

7. There should be full disclosure of the total impact of all factors that will increase property taxes, as well as careful scrutiny of ways to reduce the override level.

The cost burdens borne by Brookline residents are based on the 2024 ACS survey, and do not reflect later, or projected, tax increases. For example, the residential levy increased by \$17.6 million, or 6.7%, from FY25 to FY26, and the Town has projected a further 5.1% property tax increase from current FY26 to FY27 and an 11.8% increase by FY29 before the impact of an override. And with the proposed override, **property taxes would rise by 8.3% from current levels in one year and by 19.3% in three years**, immediately after the 6.7% property tax increase that occurred in the current year.

Ultimately, the **total** property tax impact of any override vote should be made clear to voters, including the impact from year to year and the total impact over three years. This would not simply be the isolated impact of the override, but would also include the impact of factors such as embedded Proposition 2 ½ increases and debt exclusions, the compounding of override amounts, and the additional impact of the Community Preservation Act. All such items would impact the property taxes that households would actually be required to pay.¹¹

8. The Select Board can incorporate steps to reduce the size and impact of any override.

The actual necessity of the proposed override amount should also be carefully scrutinized and steps taken to reduce the amount:

- Rather than “front-end loading” the full Town override and Schools’ capture of \$1.9 million of Circuit Breaker funds, consider spreading such amounts over a three-year period to reduce the FY27 “hit” of 8.3%.
- The 83% employer contribution rate for health insurance regardless of the type (HMO, PPO, POS) or cost of the plan, is unsustainable when coupled with the 10% to 12% GIC

¹¹ Consideration could also be given to a one-year override, to allow the current PSB administration to adopt meaningful cost reductions. In the event of a three-year override, consideration could also be given to spreading increases that are now proposed to be front-loaded in FY27 over a three-year period to reduce the FY27 impact.

premium increases over which Brookline has no control. While the contribution rate would have to be collectively bargained, contribution levels in line with comparable communities could, as noted in the “Medical Insurance Premiums” Report of the Schools Subcommittee, save from \$3.5 million to \$7.9 million per year over the period of the proposed override. The override should not be based on simply accepting the 83% contribution rate as a “given” that will persist for three more years. In setting the override level, the Select Board should consider incorporating the savings that would result from a more reasonable employer contribution rate, with the application of those savings timed to allow a period of a 9 months to 15 months for collective bargaining. Utilizing even the most conservative \$3.5 million figure would have a significant impact on the override amount.

- Similarly, the impact of “steps” on salaries is unsustainable over time, as set forth in “School Salaries: The Impact of ‘Steps’ on Actual Salaries & PSB Salaries in Comparison to Similar Districts,” as reported by the Schools Subcommittee. While salaries should be competitive, Brookline School salaries exceed the median levels in districts identified as similar by PSB.

In particular, “steps” increase actual salaries for PSB employees and for some Town employees at a rate well in excess of inflation and nominal cost-of-living increases, indeed up to 8% annually. Even though only 52% of PSB educators remain on the “steps and lanes” grid, salary increases for PSB employees were forecast at 5% per year by Dr. Susan Givens at the 2/26/26 School Committee meeting – with no increase in FTEs. That 5% figure is in addition to the effective additional 1.8% increase that results from increasing health benefit costs, an unsustainable 6.8% annual increase.¹²

A reduction of the overall 5% increase in \$125 million in PSB wages to a more sustainable overall increase of 2.5% or even 3% would result in savings of \$2.5 million to \$3 million per year over the period of the override (in addition to savings on the Town side). The effective increase in aggregate employee compensation, including health benefits, would still be well over the expected growth in revenues, but would at least be somewhat mitigated. This issue must also be collectively bargained, but salaries must be at a level that is sustainable over time without the expectation of continuing overrides. The override should not accept unsustainable salary increases as a “given,” and the Select Board should therefore consider incorporating these savings in the override level after a period for collective bargaining.

- PSB should enforce provisions of the contract regarding teaching loads at the High School, and the Select Board should be prepared to set an override level that incorporates the resulting savings.

¹²The average Brookline teacher salary in 2023-24 – three years prior to the first override year – was \$122,389. <https://profiles.doe.mass.edu/statereport/teachersalaries.aspx> Brookline’s current 83% contribution for 1789 active Town and School employees is \$32,804,684 (see Table 1, “Medical Insurance Premiums” Report of the Schools Subcommittee), or an average of \$18,337 per employee. Health insurance premiums are projected to increase by 12% per year, or \$2,200 per employee, or approximately 1.8% of the average 2023-2024 salary.

The current collective bargaining agreement provides: “Grades 9-12 teachers shall have a maximum of twenty (20) assigned instructional periods and four (4) periods of other assigned duties (one of which may be a homeroom), except as the BSC [Brookline School Committee] has previously voted otherwise.” There is also a “goal” of an aggregate student load of 115 students, with the Head of School required to “make efforts” to reduce the load to 115.

For High School teachers teaching courses that meet only four times per week, this would allow the assignment of five courses plus four other duties. This apparently applies in English, Math, Social Studies, World Languages, and some Science courses (with some Science courses meeting 5 times per week with labs). Only 11 out of 94 teachers now have teaching loads of more than 100 students, and the current average teaching loads in all five discipline range from 82.4 to 92.7, indicating opportunities to increase per-teacher instructional periods from 4 to 5 without exceeding the goal of 115.

In fact, at the 2/26/26 School Committee meeting, PSB identified the potential to save 8 FTEs by shifting some “4+1” assignments to teaching 5 courses (1.4 FTEs) in FY27 regardless of the outcome of an override, and by rotating a portion of “4+1” assignments if an override fails (an additional 6.6 FTEs). The 6.6 FTEs could reduce the required override by approximately \$900,000 annually, or a total of more than \$2.7 million over three years,¹³ and should be incorporated as a minimum in setting the override level.¹⁴

- Accordingly, the unsustainable status quo should not be accepted as a “given” that will burden Town and School finances for the next three years, if not beyond. The Select Board could put a single override on the ballot that incorporates all of the savings described above. The Select Board could also offer a “tiered” override. Both tiers could “phase in” Town and School amounts over three years, rather than front-end loading certain amounts, and also incorporate modifications to the “4+1” system already identified by PSB (a reduction of 6.6 FTEs, or approximately \$900,000 per year when benefits are included).

Both override tiers would preserve Town and School services, rather than finding savings by eliminating fire companies and middle school World Languages. The lower tier would

¹³ The average Brookline teacher salary in 2023-24 – three years prior to the first override year – was \$122,389. <https://profiles.doe.mass.edu/statereport/teachersalaries.aspx> Brookline’s current 83% contribution for 1789 active Town and School employees is \$32,804,684 (see Table 1, “Medical Insurance Premiums” Report of the Schools Subcommittee), or an average of \$18,337 per employee, resulting a total of over \$140,000 per employee for just wages plus health insurance, or approximately \$900,000 annually for 6.6 FTE positions.

PSB should prepare to implement all potential staff reductions by complying with the notice requirements of the collective bargaining agreement regarding layoffs to the levels required if an override were to fail.

¹⁴ Even greater savings might be possible than those already identified by PSB. It has been argued that Tutorials are “instructional periods” and not “other assigned duties.” Overseeing a Tutorial of 10 students with two teachers is of course not equivalent in terms of preparation and grading to teaching an academic course with, for example, 23 students. The application of the “instructional period” and “other assigned duties” terminology would have to be resolved, along with the assignment of teachers to academic courses and the structure of duties other than academic courses to determine the potential for additional savings.

expressly incorporate an employer health insurance contribution rate in line with most similar school communities (saving at least \$3.5 million, and up to \$7.9 million, per year). The lower tier would also incorporate a 2.5% or 3% annual increase in Town and School wages (saving between \$2.5 and \$3 million per year of School wages, plus a further amount in Town wages). The higher override tier would offer voters the choice of continuing to fund the 83% employer contribution rate for health insurance premiums and the existing increases in School salaries of approximately 5% per year as well as Town salary increases, in addition to increases in benefit costs of 12% per year.

- The override calculations should also incorporate revenue and savings identified by E&RSC subcommittees, including:
 - Capturing savings projected during the override period from the Solar Initiative recommended by the Futures Subcommittee.
 - At a minimum, ensuring that the Brookline Early Education Program (BEEP) tuition is covering the costs of the program, particularly an apparent shortfall in the Extended Day portion of the program, as set forth in the “Cost Savings and Revenue Opportunities through the Brookline Early Education Program” Report of the Schools Subcommittee.
- Finally, there should be a commitment to recommendations of E&RSC subcommittees, including:
 - In addition to the foregoing, a deep review of the of the tuition being charged for both full and extended day BEEP programs, as there are programs that are offered for less than market rates, as well as programs being offered for less than the cost of the program.
 - A robust analysis of the Special Education costs attributable to non-resident students and pursuit of additional funding from the State for the Special Education costs attributable to METCO students. This could be done in cooperation with other communities, including Newton and Lexington, who together with Brookline receive the largest number of METCO students in eastern Massachusetts.
 - Evaluation of the financial and educational benefits and costs of conversion to a middle school model.
 - A pilot program to manage rentals and use of public buildings and facilities, including use by third parties, Town and School departments and affiliated not-for-profit organizations.
 - Potential consolidation of functions serving both the Town and Schools.
 - Evaluation and possible amendment the Town/School financial model, including the methodology used to assign or “split” revenues, the allocation of costs “above the line” or “below the line,” and the creation of clear working relationships for Town departments and for the Schools regarding the assignment of responsibility, funding and control of costs and services.
 - Independent review of the steps taken with regard to the Clifton Larson Allen report on PSB administration.

The size of the override and the capacity of households to pay any override are critical issues.

The Town would not be well served by the imposition of onerous burdens on residents – owners or renters; young, middle-age or senior -- or, conversely, by the failure of an override that voters find unacceptable.

DRAFT

UNREIMBURSED SPECIAL EDUCATION COSTS FOR NON-RESIDENT STUDENTS

Summary

The cost of providing Special Education services to non-resident students raises difficult questions for Brookline:

- Brookline is subsidizing the “home” or “sending” districts of non-resident (Materials Fee and METCO) students attending the Brookline schools. Those “home” districts provide no reimbursement for the cost of Special Education services that Brookline is providing.
- The State has also refused to provide reimbursement to Brookline for Special Education costs for METCO students.
- Brookline reported direct costs of approximately \$30,000 per in-district Special Education student in the 2023-2024 school year, or approximately \$28,000 if in-district Special Education transportation costs are not included.
- Even at the \$28,000 figure from two years ago, the direct per student in-district Special Education costs would amount to approximately \$4 million for the 144 non-resident students who receive Special Education services.
- The Public Schools have been unable to provide any other calculations of the cost of providing Special Education to non-resident students, raising questions for further analysis.
- The fundamental question is the extent to which Brookline can and should continue to subsidize the “home” districts of non-resident students.
- At a minimum, Brookline should collaborate with other communities participating in METCO, and particularly Lexington and Newton, to lobby at the State level for additional funding to offset costs that are being shifted from the students’ “home” districts to “receiving” districts such as Brookline.

Discussion

1. Reimbursement is not provided by either the State or the “home” district for the costs of providing Special Education to non-resident students (METCO and Materials Fee).

This analysis examines costs attributable to non-resident students, and in particular Special Education costs. Although Brookline is not responsible if a non-resident student requires an out-of-district placement, it is responsible for all in-district Special Education costs for non-resident METCO and Materials Fee students.

The Public Schools of Brookline (PSB) responded to questions from the E&RSC investigating the costs of providing services to students from other municipalities enrolled in Brookline Schools through the METCO and the Materials Fee programs. The PSB responses

were provided in a document that was approved by the School Committee and is attached to its minutes of September 26, 2025.¹

With respect to METCO, PSB reports that the State METCO grant is approximately \$2.4 million, or about \$8,000 per student. “[M]ore than 90% of the budget” is spent “on METCO salaries and transportation.” Salaries covered by the METCO grant include a METCO director and secretary, as well as METCO counselors and liaisons at each of the schools. The grant, however, “does not cover all of the benefit expenses associated with METCO staff (director, secretary, counselors, liaisons, etc.).”² And while “METCO pays for bus transportation” there is an “exception [for] those that have a special need.” The PSB responses made clear that the “METCO grant pays for METCO specific programming, not educational programming offered to all students at PSB.” The METCO budget includes one High School Special Education teacher serving METCO students, who can provide “some services” to “non-METCO staff”:

“[T]he Brookline METCO Program also funds two literacy specialists, two math specialists, and a special education teacher at BHS providing academic services to METCO students. These specialists also provide some services to non-METCO staff.”

PSB stated that prior to accepting a student it will determine whether PSB “has adequate in-district supports and space available,” but did not indicate that any student was not accepted due to the cost of providing in-district services. In addition, because students are accepted in early educational years, special needs may not yet have been identified. PSB “does not currently have a cost analysis breakdown by student or student group for the provision of special education services.”

As of February 25, 2026, PSB has been tentatively awarded a METCO grant, subject to final approval, of \$236,198 to cover part of the salaries of ten paralegals. Brookline receives no compensation from Boston for the in-district special education or other services that PSB provides to students who are residents of Boston.

With respect to Materials Fee, PSB receives approximately \$3,500 to \$3,600 for each non-resident Materials Fee student (children of PSB and Town staff). PSB has stated that

¹ Response to Expenditures and Revenue Study Committee (E&RSC) Questions, at 14-18.
<https://brooklinema.portal.civicclerk.com/event/14336/files/agenda/26549>

² According to the PSB responses, \$46,000 is allocated annually “to offset a portion of these [benefit] costs.”

Materials Fee operates on a “space available basis,” and that the parent is asked for a copy of the student’s IEP. As with METCO, however, PSB did not provide information that any student was not accepted because of the cost of providing in-district services, and did not have a “cost analysis breakdown by student or student group for the provision of student services” to Materials Fee students. As with METCO, Brookline provides in-district special education services to Materials Fee students but receives no compensation from the students’ home districts for those services.

In the absence of data from PSB providing any analysis of the cost of providing Special Education services to non-resident students, other data sources provide a basis for estimating costs.

2. The Division of Elementary and Secondary Education (DESE) provides the direct costs of in-district Special Education.

DESE reports in-district Special Education costs based on district submissions for the 2023-24 school year, the latest year for which data is currently available.³ Although this report from the 2023 to 2024 school year almost certainly understates current in-district Special Education costs, it provides a useful indicator of the magnitude of those expenditures. Thus, Special Education in-district teaching costs in Brookline were \$28,181,718; other direct in-district Special Education instructional costs (such as textbooks, equipment, supervisory guidance, and psychological services) were \$4,266,028; and Special Education in-district transportation was \$2,503,368. The total direct expenditures specifically related to in-district Special Education were therefore \$34,951,114 in the 2023 to 2024 school year. These DESE figures do not include expenditures from grants or revolving funds.

3. PSB has provided data showing the number of resident and non-resident Special Education students, which permits the calculation of per student costs.

The following chart provided by PSB in response to the E&RSC questions shows the number of resident Brookline students, Materials Fee students, and METCO students receiving in-district Special Education services, categorized by “full inclusion,” “partial inclusion,” and

³ <https://www.doe.mass.edu/research/radar/>, then “Special Education Direct Expenditure Trends.” Or: <https://docs.google.com/spreadsheets/d/1IgaqAI8NM9Yy2s8wyDENOIUvV-86FuYsc-jMeSEW2qU/edit?gid=1221729753#gid=1221729753>

“substantially separate” classrooms, generally reflecting increasingly higher staff-to-student ratios and therefore expenses.

	Residents	Materials Fee	METCO	Totals
Full Inclusion	780	29	84	893
Partial Inclusion	154	6	16	176
Substantially Separate	82	5	4	91
Total in-district Special Education	1,016	40	104	1,160
Total In-District Student Enrollment	6,380 ⁴	191	299	6,870

Although this data is from the 2025 to 2026 school year, it provides a useful indicator of the expenditures per student for in-district Special Education.⁵ Thus, direct Special Education costs per in-district IEP student can be estimated at \$30,130 (\$34,951,114/1,160). Teaching and other instructional costs, eliminating any transportation costs, result in a \$27,972 (\$32,447,746/1,160) cost per in-district Special Education student. These figures exclude any expenditures from grants or revolving funds. They also do not include any escalation in costs over the intervening two years. Finally, they do not include general education expenditures not directly related to Special Education.

Applying the average \$27,972 cost – from two years ago – attributable to direct Special Education expenditures to the 40 Materials Fee students results in a total cost of \$1,118,880, unreimbursed by the sending district or otherwise. And applying that \$27,972 cost to the 104 METCO special education students yields a total cost of \$2,909,088– using costs from two years ago – unreimbursed by Boston, the State (other than the pending grant), or any other entity. The total is over **\$4 million**.

It has been argued that non-resident Special Education students add little or no additional cost because they simply fill empty “available” spaces. It is recognized that the \$28,000 and

⁴ There were, in addition, 78 resident students receiving out-of-district education, providing a total of 6,948 students enrolled in the Brookline Public Schools.

⁵ The total of 6,948 PSB students in SY25-26 is substantially equivalent to the total of 7,023 PSB students in SY23-24, allowing data from the two years to be used to derive per student cost estimates – particularly since the SY23-24 cost data almost certainly understates current expenditures.

\$30,000 figures are average costs, but PSB has not provided any alternative cost allocation.

Moreover,

- Given that non-resident students make up 12.4% (144/1,160) of the total in-district Special Education cohort, it is unlikely that they all simply fill otherwise unused spaces at no additional cost.
- While non-resident students do not receive out-of-district placements at Brookline's expense, a significantly higher percentage of non-resident in-district students than resident in-district students receive Special Education services (Materials Fee – 40/191 or 20.9%; METCO – 104/299 or 34.8%; resident – 1016/6380 or 15.9%), also undercutting the “little or no cost” argument.
- Nine non-resident students are in “substantially separate” classrooms, and 22 in “partial inclusion” settings. It would, for example, be useful to receive information on the associated costs, including special educators and aides.
- It would be useful to receive information on the number of non-resident METCO and Materials Fee students whose IEP requires an aide, or a shared aide, and the resulting cost.
- It would be useful for PSB to report on the number of non-resident applications, if any, that have not been accepted during, for example, the last three years because of anticipated in-district Special Education costs.
- An August 11, 2025 analysis by John Doggett reported that, in 2023, Brookline ranked 25 out of 31 communities receiving METCO grants to offset costs. Brookline received an average of \$6,670 per METCO student, with the average of METCO cities and towns being \$8,026. If Brookline had received just the average amount, the annual METCO grant would be approximately \$400,000 larger.
- Brookline, along with Newton and Lexington, accepts the largest number of METCO students in eastern Massachusetts.

The bottom line is that Special Education costs for non-resident students provide a direct subsidy to the sending districts, who avoid those costs for students receiving services in Brookline. The State has to date has not allocated sufficient funds to reimburse Brookline and other METCO-receiving districts for the substantial costs they are incurring. Can existing practices be maintained in the face of the Town's substantial projected deficits, short of reducing the number of non-resident students? At a minimum, Brookline should promptly collaborate with Newton and Lexington to lobby for additional State funding to offset the costs that are being shifted from Boston and being borne by those three communities, as well as other “receiving” communities.